

Syncrate: The Gold Standard, Onchain

A Protocol for Tokenized Gold Exposure and Gold-Backed Trade Finance

The Syncrate Team

July, 2026

Abstract

XAU is a fully-reserved gold token, representing tokenized exposure to the value of a custodied gold pool, with each token corresponding to one troy ounce of 99.99% pure, LBMA-grade gold held in secure custody in the United Arab Emirates. XAU carries no yield and no counterparty risk beyond gold's own price; the physical reserves backing it are never leased, borrowed against, or otherwise deployed. SGLD is a separate vault token representing tokenized exposure to the yield generated by deploying XAU into short-term, collateralized financing arrangements with vetted bullion bank and refiner counterparties. The separation of these two instruments is deliberate: holders of XAU alone bear only gold price risk, while SGLD holders knowingly accept counterparty and strategy-specific risk in exchange for yield. This paper presents the technical architecture, reserve integrity mechanisms, and economic model underlying Syncrate's approach to gold-backed onchain finance.

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1 Introduction

1.1 Problem & Solution

Gold has functioned as the world's most trusted store of value for millennia, yet its physical nature has always imposed a tradeoff between security and utility. Holding gold safely requires custody, custody requires trust in an intermediary, and once gold sits in a vault, it becomes largely illiquid, disconnected from the fast-moving, programmable financial systems that now govern most global capital.

Tokenized gold has begun to close part of this gap. Products like PAXG and Tether Gold (XAUT) allow investors to hold a blockchain-native claim on physical gold, redeemable and transferable without the logistical burden of physical delivery. This is a genuine improvement in accessibility and liquidity. But these instruments solve only half the problem: they digitize gold's custody, not its utility. A tokenized gold holder today faces the same choice a physical gold holder has always faced, hold the asset and earn nothing beyond price appreciation, or seek yield elsewhere by taking on unrelated risk, typically by exiting the asset entirely and redeploying capital into a separate instrument.

This gap persists despite the fact that physical gold has generated yield for institutional participants for decades, through an established, low-complexity mechanism largely inaccessible to individual holders: short-term, collateralized gold financing. Bullion banks, refiners, and jewelers routinely borrow physical gold as working capital, paying a lease rate for the privilege, a practice as old as institutional gold markets themselves. This yield source is real, understood, and structurally simple, but it has remained the province of large financial institutions with direct relationships to bullion markets, entirely outside the reach of a typical token holder.

Syncrate addresses both halves of this problem through two distinct, purpose-built instruments rather than a single blended product. XAUs gives holders pure, fully-reserved exposure to the value of physical gold, with no yield, no counterparty exposure, and no compromise to the underlying reserve. SGLD gives XAUs holders an explicit, optional path to deploy that value into the same gold-backed financing arrangements institutions have relied on for decades, with yield accruing transparently onchain. A holder is never forced into this exposure; they choose it, deliberately, understanding that it introduces real counterparty risk in exchange for real, asset-backed yield.

This separation is the core design principle underlying Syncrate. Where existing gold tokens force a single, undifferentiated risk profile onto every holder, Syncrate allows the decision to seek yield, and the risk that comes with it, to remain entirely with the individual holder, not embedded silently in the base asset.

1.2 Vision & Mission

1.2.1 Vision Statement

Syncrate envisions a financial system where physical gold, the oldest store of value, becomes as programmable and productive as any other onchain asset, without compromising the qualities that

make it trustworthy in the first place: full backing, verifiable custody, and clear, honest risk disclosure.

Success, in this vision, means a gold holder anywhere in the world can access the same institutional-grade financing yield historically reserved for bullion banks and large financial institutions, while retaining the ability to hold pure, unencumbered gold exposure whenever they choose. It means gold's dual identity, as a safe store of value and as productive collateral, is no longer an either-or decision forced by a single financial product, but two clearly separated, independently chosen paths.

1.2.2 Mission Statement

Syncrate's mission is to build transparent, verifiable infrastructure connecting physical gold reserves to onchain finance, without obscuring the risk profile of any single component behind marketing or convenience.

Core mission elements include:

- **Reserve Integrity:** Ensure XAUs remains fully, verifiably backed by custodied physical gold at all times, with no exceptions and no silent risk-taking against the base reserve.
- **Transparent Yield:** Ensure SGLD's yield is traceable to a real, understandable economic activity, gold-backed financing, rather than token emissions or unsustainable incentive structures.
- **Informed Choice:** Present XAUs and SGLD as distinct instruments with distinct risk profiles, so holders always understand precisely what they are exposed to.
- **Institutional-Grade Custody:** Partner with established, professional custodians and counterparties rather than compromising security for speed for growth.
- **Verifiable Trust:** Support every claim about reserves and financing activity with recurring, independent, third-party verification.

1.3 Market Opportunity

Physical gold represents one of the largest stores of value in the global financial system, with an estimated market value in the range of \$15-20 trillion. Despite this scale, only a small fraction of that value has any connection to programmable, onchain finance.

Tokenized gold, the category Syncrate operates within, has grown meaningfully but remains early. The category reached a combined market capitalization of approximately \$5.5 billion in Q1 2026, with roughly \$90.7 billion in quarterly trading volume. This market remains concentrated: PAXG and XAUT together represent roughly 90% of tokenized gold's market capitalization, and neither offers any native mechanism for holders to earn yield on their position without exiting the asset entirely.

This concentration, paired with the complete absence of a yield-bearing option among the market's dominant players, represents the specific gap Syncrate is built to address. Newer entrants in the category demonstrate that meaningful growth remains achievable even against

established incumbents: Matrixdock's XAUm scaled more than elevenfold within a year to reach a market capitalization in the range of \$70-75 million, without offering a yield mechanism at all. A gold token that additionally offers a transparent, optional path to real financing yield represents a differentiated position within a category that has, to date, competed almost entirely on custody quality and brand trust alone.

1.4 Platform Overview

Syncrate operates through two interconnected but architecturally independent products, each governed by its own risk model and contract logic.

XAU functions as the protocol's base reserve layer. Each token is minted 1:1 against verified physical gold held in secure, professional custody, and is redeemable at any time for USDC or USDT at the prevailing gold price. XAU holders who take no further action bear only the price risk inherent to holding gold itself.

SGLD functions as the protocol's optional yield layer. XAU deposited into the SGLD vault is deployed into short-term, collateralized financing arrangements with vetted bullion bank and refiner counterparties. SGLD's share price reflects the accrued proceeds of this financing activity, moving independently of both XAU's price and the broader crypto market. SGLD holders may redeem their position at any time, converting back into XAU at the prevailing gold price.

The two products share a common reserve philosophy, transparency, verifiability, and honest risk separation, but operate as distinct instruments with distinct contracts, distinct risk profiles, and distinct value propositions. A holder's decision to move from one to the other is always explicit, and never assumed.

2 XAU: Gold-Backed Reserve Token

2.1 Token Design & Backing Model

XAU is a fungible, blockchain-native token in which each unit represents a direct claim on one troy ounce of physical gold. The gold backing XAU is 99.99% pure, LBMA-grade bullion, held in secure custody with a professional, institutional custodian based in the United Arab Emirates.

The design principle governing XAU is strict and unconditional: **circulating supply can never exceed verified physical reserves**. This is enforced onchain through a reserve cap mechanism, described in Section 2.4, rather than relying on off-chain trust or periodic reconciliation alone. XAU is not a synthetic or derivative claim on gold's price; it is a direct, redeemable claim on specific, custodied, physical bullion.

XAU carries no yield in and of itself. Its value tracks the spot price of gold, nothing more. Critically, gold backing XAU is never leased, lent, rehypothecated, or otherwise deployed for

any purpose while it remains represented by circulating XAU's. This distinction matters because it defines the boundary of what “holding XAU's” actually means to a holder: exposure to gold's price, and nothing else.

2.2 Minting Mechanism

XAU's is minted when a user deposits USDC or USDT. No fiat currency or banking rail is involved in this process; minting occurs entirely through onchain stablecoin deposits, converted into a claim on gold at the prevailing market price.

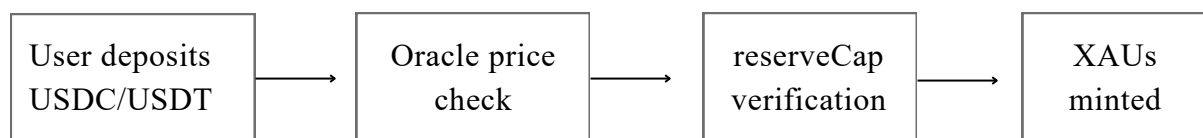
The mint calculation proceeds as follows:

$$\text{XAU's Minted} = (\text{USDC/USDT Deposited} / \text{Gold Spot Price})$$

Where Gold Spot Price is retrieved from a decentralized price oracle at the time of the transaction, with a staleness check ensuring the price used is current within an acceptable threshold. Minting carries no protocol fee; the full deposited value converts directly into XAU's at the prevailing gold price.

Before any mint transaction is finalized, the protocol verifies that resulting total circulating supply will not exceed *reserveCap*, the onchain variable tracking verified gold currently in custody. If a mint would push supply beyond this threshold, the transaction is rejected. This check has no exceptions: it applies uniformly whether the mint originates from a user deposit or from any internal protocol process.

XAU's Mint Flow



2.3 Redemption Mechanism

XAU's holders may redeem their tokens for USDC or USDT at any time, at the prevailing gold spot price, net of a redemption fee.

$$\text{USDC/USDT Returned} = \text{XAU's Redeemed} \times \text{Gold Spot Price} \times (1 - \text{Redemption Fee})$$

Upon a redemption request, XAU's is burned immediately, locking in the holder's payout value at the moment of the request rather than at the moment of eventual settlement. Redemptions are

served from a treasury liquidity buffer, a portion of stablecoin reserves deliberately held liquid, separate from the physical gold acquisition process, specifically to serve redemption demand without requiring an emergency sale of physical bullion.

If the liquidity buffer holds sufficient reserves, redemption settles immediately. If demand temporarily exceeds available buffer liquidity, the redemption enters a first-in, first-out queue, and is settled as the buffer is replenished through new mint inflows or deliberate treasury action. This mechanism ensures that XAU's redemption promise remains honest under stress, rather than silently failing or introducing unbounded settlement delay.

2.4 Reserve Management & Integrity

The *reserveCap* variable is the central integrity mechanism of the XAU's system. It represents the maximum XAU's mintable at any given time, and is updated exclusively by a dedicated reserve management role, itself gated behind a multi-signature approval process and a timelock delay on changes.

reserveCap is increased only in direct correspondence with newly verified physical gold entering custody, never in anticipation of future acquisition. Syncrate maintains a deliberate operating buffer, holding somewhat more physical gold in custody than XAU's currently in circulation, replenished proactively as headroom narrows, rather than reactively in response to mint demand. This buffer exists specifically to avoid a scenario in which legitimate mint demand cannot be served promptly due to a temporary gap between fundraising and physical acquisition.

Reserve Integrity Condition (enforced at all times):

$$\text{Total XAU's Circulating Supply} \leq \text{reserveCap} \leq \text{Verified Physical Gold in Custody}$$

This condition is not a target or a best-effort guideline; it is a hard constraint enforced by contract logic on every mint transaction. No mechanism within the protocol, including internal or administrative functions, is permitted to mint XAU's in violation of this condition.

3 Syncrate Prime: Gold-Backed Yield Vault

3.1 Vault Design & Share Mechanics

Syncrate Prime is a vault into which XAU's holders may optionally deposit their tokens to gain exposure to gold-backed financing yield. Depositing XAU's into Syncrate Prime mints SGLD, a share token representing proportional ownership of the vault's underlying financing position. SGLD follows standard share-vault mechanics: its price is a direct function of the vault's total value divided by total shares outstanding.

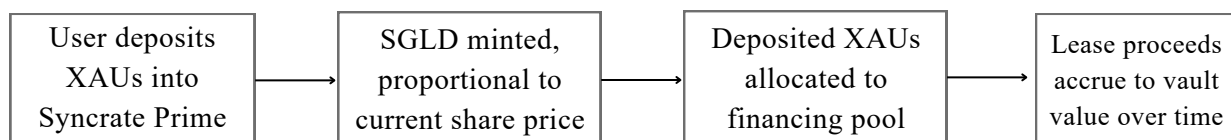
$$\text{SGLD Share Price} = \text{Total Vault Value (in XAU terms)} / \text{Total SGLD Outstanding}$$

Unlike XAU, whose value tracks gold's spot price directly, SGLD's share price moves according to the performance of the underlying financing activity, described in Section 3.3. This is a deliberate architectural separation: SGLD price appreciation reflects financing yield accrual, not gold price movement, which is already fully captured by the XAU a holder deposits or withdraws.

3.2 Deposit & Deployment Flow

A user deposits XAU into the Syncrate Prime vault. This XAU is recorded against the depositor's proportional claim and becomes eligible for deployment into active financing arrangements with vetted counterparties.

Deposit & Deployment Flow



Deployment of vault capital into financing arrangements is governed by the counterparty and risk criteria described in Section 3.3, and is not immediate or unconditional; capital is deployed as suitable, vetted financing opportunities are available, consistent with the vault's risk parameters.

3.3 Financing Strategy & Counterparty Model

SGLD's yield is generated through short-term, collateralized gold financing, a mechanism long used by bullion banks and gold market intermediaries to extend working capital against physical gold. Syncrate Prime extends this same mechanism to XAU deposited into the vault.

Vault capital is lent to licensed, vetted bullion banks, refiners, and dealers, who use the financing as working capital in the ordinary course of their gold trading and refining operations. In exchange, these counterparties pay a lease rate over the term of the financing arrangement. Financing arrangements are structured as short-term facilities, with terms and counterparty selection governed by Syncrate's risk management framework, described in Section 6.

Every financing arrangement is collateralized, and counterparties are subject to a vetting process prior to receiving any allocation of vault capital.

3.4 Yield Accrual & Share Price Mechanics

As counterparties repay financing arrangements, principal plus accrued interest returns to the vault. This interest increases total vault value without increasing SGLD supply, causing SGLD's share price to rise proportionally.

$$\text{New SGLD Share Price} = \frac{(\text{Total Vault Value} + \text{Accrued Financing Interest})}{\text{Total SGLD Outstanding}}$$

This is a share-price-appreciation model, not a distribution model: SGLD holders do not receive periodic payouts. Instead, the value of each SGLD share increases over time as financing income accrues, and holders realize this gain upon redemption.

Worked Example (Illustrative)

Sample Deposit	Share Price at time A	Share Price at time B	XAU-equivalent value at redemption
100 XAU	\$1.00	\$1.0224	100 SGLD x \$1.0224 - 0.10% (fee) ≈ 102.14 XAU

A critical design property: SGLD's share price has no direct dependency on gold's spot price. SGLD price appreciation reflects only the financing strategy's performance. Gold price re-enters the picture only when a holder redeems SGLD, since redemption proceeds are ultimately converted back into XAU, valued at gold's spot price at the time of redemption. A holder's total realized outcome therefore reflects two independent variables, financing yield earned while deposited, and gold's price movement between entry and exit, and Syncrate's user-facing interface present these separately to avoid conflating the two.

3.5 Redemption Mechanism

SGLD holders may redeem their shares at any time. Upon redemption, the corresponding proportion of vault value is converted back into XAU at the vault's current share price.

$$\text{XAU Returned} = \text{SGLD Redeemed} \times \text{Current SGLD Share Price} \times (1 - \text{Redemption Fee})$$

Because a portion of vault capital may be actively deployed in outstanding financing arrangements at any given time, redemption liquidity depends on the vault maintaining a reserve of undeployed or readily-recallable capital, structured to serve typical redemption demand

without requiring the early unwind of active financing positions. Redemption mechanics under conditions of elevated demand, including any liquidity buffer or queuing mechanism specific to Syncrate Prime, are addressed further in Section 6.2.

4 Reserve & Custody Verification

4.1 Custody Partnership

The physical gold backing XAUs is always held with Amanat Vaults a professional, institutional custodian based in the United Arab Emirates, selected for its established infrastructure for secure bullion storage and its capacity to support recurring, independent verification of holdings.

Custody arrangements are structured so that physical gold reserves remain segregated and identifiable as backing XAUs specifically, distinct from any other assets the custodian may hold on behalf of other parties. This segregation is a precondition for the reserve integrity model described in Section 2.4: *reserveCap* can only be increased in correspondence with gold that is verifiably, exclusively allocated to XAUs.

4.2 Proof-of-Reserve Attestation

Syncrate maintains a recurring, independent audit process to verify that circulating XAUs supply remains fully matched by custodied physical gold. This attestation is conducted by Buruea Veritas on a bi-annual interval, providing verification that is not self-reported by Syncrate or its custodian.

Each attestation reconciles three figures: total XAUs circulating supply, total physical gold verified in custody, and the current *reserveCap* value. Any discrepancy between these figures is required to be resolved and disclosed before further minting is permitted.

Attestation Reconciliation:

Circulating XAUs Supply $\leq$ Verified Custodied Gold (troy oz)

reserveCap = Verified Custodied Gold (troy oz), less operating buffer

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Certificate No. SGMSG-29-00276/ BVS/ISL 4 June 2026

AUDIT REPORT

Inspected by : Inspectorate (Shanghai) Limited / Bureau Veritas (S) Pte Ltd
Issued to : Syncrate Technologies Inc.
Commodity : LBMA Gold Bars (1kg)
Custodian : Amanat Vaults, Sharjah, UAE
Total Quantity : 6 pieces

THIS IS TO REPORT THAT, at the request of Messrs Syncrate Technologies Inc, we attended on 4 June 2026 at the below-mentioned premises for the purpose of carrying out a 100% audit of an inventory comprising of the above-mentioned Gold Bar

We report as follows.

1. PLACE OF INTERVENTION
Amanat Vaults, Sharjah, UAE

2. PERSON-IN-ATTENDANCE

- Andy Tang – Inspectorate Shanghai Limited / Amaechi Okolobi – Syncrate Technologies Inc.
- Abdul Mutalib Hashim – Bureau Veritas (S) Pte Ltd / Kizito Chukwuma - Syncrate Technologies Inc.

3. FACTS/OBSERVATION

The Gold Bars were observed satisfactorily stored in a storage facility equipped with security amenities.

The Gold Bars as listed in the of 'Inventory Ownership List' as of 4 June 2026 was furnished by the client 'Syncrate Technologies Inc. as follows:

ITEM	QUANTITY	CUSTODIAN
ALLUICA GLD 1KG – 0.9999 Fineness	6 PCS	Amanat Vaults
GRAND TOTAL	6 PCS	

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4. PHYSICAL FULL AUDIT

The entire consignment of Gold Bars, to consist of six (6) bars as per listed in 'Inventory Ownership List' as of 4 June 2026 furnished by the client 'Syncrate Technologies Inc was presented for our audit.

We checked all bars of Gold of the 'Inventory Ownership List' as of 4 June 2026 furnished. The selected items were traced to their Safe Deposit Box based on the allocated unique 'Parcel ID'. The box utilizes a UL-Certified dual-key lock system.

Thereafter verification of the Bar Numbers was checked.

5. DETAILS OF PACKAGING:

Bars were packed in a 51.5H x 27W x 55D cm steel-reinforced box

6. WEIGHMENT & MEASUREMENT:

All bars were weighed and measured during the inspection to verify the accuracy and correctness of the weights of the metal.

Certified weighing scales: details below:

S/N	QTY (Bar)	Check gm(BAR)	Vault Serial Number
1.	6	1000	07268-BN8

Weighing of each piece, and found as standard net weight as 1000 gm.

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7. REMARKS:

Based on the audit of the Gold Bars as per 'Inventory Ownership List' dated 4 June 2026 stored at the storage facility of Amanat Vaults, we conclude that no anomalies were identified during the audit.

We hereby certify that the above inspection is based on our finding/observation at the time and place indicated above only and does not refer to any matters.

This inspection has been carried out to the best of our knowledge, conscience and ability and our findings in no way relief concerned parties from their contractual liabilities.

Mutalib Hashim, Andy Tang
ATTENDED BY (AUDITORS/CLIENT REPRESENTATIVES) FOR BUREAU VERITAS SINGAPORE PTE LTD

Mohd. Firdaus Bawadi
REPORT REVIEWED BY COORDINATION BUSINESS MANAGER

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ISO9001 Certified

Syncrate's inaugural third-party reserve attestation, conducted by Bureau Veritas

4.3 Separation of XAUs Reserves from SGLD Deployment

A critical distinction underlies Syncrate's entire reserve model: **physical gold custodised against XAUs is never itself deployed, lent, or placed at risk.** What moves into Syncrate Prime's financing activity is capital, XAUs value that a holder has voluntarily deposited into the vault, converted into financing outlay to a vetted bullion bank counterparty.

This means two distinct pools exist within the Syncrate ecosystem, governed by entirely different risk models:

- **XAUs reserves:** physical gold in custody, fully allocated, never at risk, verified through the attestation process described in Section 4.2.
- **Syncrate Prime deployed capital:** XAUs converted into financing arrangements, collateralised by borrower-posted gold, subject to counterparty and collateral risk as described in Section 6.1.

A holder who never deposits into Syncrate Prime has exposure exclusively to the first pool. A holder who deposits into Syncrate Prime accepts exposure to the second, and only to the extent of the amount they have chosen to deposit. Reserve verification for XAUs, described above, is entirely independent of Syncrate Prime's financing book; the two are never commingled in a single attestation or a single risk disclosure.

5 SYNC: Protocol Governance Token

5.1 Utility & Governance Design

SYNC is Syncrate's native governance token. Its introduction is intentionally sequenced after the protocol has established real usage, XAUs circulating supply, and Syncrate Prime financing activity generating actual fee revenue, rather than issued speculatively ahead of any of these existing. A governance token without a protocol generating real activity to govern carries little functional meaning; SYNC is designed to arrive once there is something substantive for holders to actually decide.

SYNC stakers gain the ability to participate in governance over protocol parameters, including but not limited to:

- Fee levels applied to XAUs redemption and Syncrate Prime withdrawals
- Risk parameters governing Syncrate Prime's financing activity.
- Treasury and reserve buffer policy adjustments.

Governance is conducted initially through an off-chain, gasless voting mechanism on Snapshot, allowing the protocol to build a genuine governance track record and community participation before binding any real financial parameter to autonomous, self-executing onchain logic. The SYNC token is built with onchain voting and gasless delegation compatibility from inception, so a transition to fully onchain, self-executing governance remains possible in the future without requiring a token migration.

5.2 Fee Reduction & Staking

SYNC holders may stake their tokens to receive a reduction in protocol fees applied to XAU redemption and Syncrate Prime deposit and withdrawal transactions.

$$\text{Effective Fee} = \text{Base Fee} \times (1 - \text{Staking Discount Tier})$$

Staking locks SYNC for a defined duration but does not remove it from governance eligibility; staked SYNC retains its full voting weight throughout the staking period. This distinguishes staking from any form of token burn or permanent forfeiture: a holder accessing a fee discount does not give up their governance rights to do so.

SYNC Staking Discount Tiers

Staking Duration	Fee Discount
7 Days	5%
30 Days	15%
180 Days	40%

5.3 Supply & Value Accrual

SYNC does not rely on a general, unincentivized user-facing burn mechanism. Instead, token scarcity is designed to accrue through a protocol-level buyback-and-burn process: a defined portion of protocol revenue, generated from XAU redemption fees and Syncrate Prime financing activity, is used to purchase SYNC on the open market and permanently remove it from circulating supply.

$$\text{Monthly SYNC Burned} = (\text{Protocol Revenue} \times 5\%) / \text{SYNC Market Price}$$

Where 5% = Percentage of revenue allocated for buybacks

This mechanism ties SYNC's scarcity directly to genuine protocol usage, XAU redemption volume, and Syncrate Prime financing activity, rather than to an arbitrary schedule or emissions unrelated to real economic activity within the protocol.

6 Risk Management Framework

6.1 Counterparty Risk (Syncrate Prime)

Syncrate Prime's financing activity extends capital to vetted bullion bank counterparties, collateralized by the borrower's own physical gold holdings. Two parameters govern the structure of this exposure directly:

Loan-to-Value Ratio: 75%
Facility Term: 60 days

A 75% loan-to-value ratio means that for every unit of capital extended, the borrowing counterparty posts gold collateral valued at approximately 1.33x the loan amount at inception. This margin exists specifically to absorb gold price movement during the facility term without immediately exposing the vault to a shortfall: gold's price would need to decline by more than approximately 25% within the 60-day term before posted collateral would be insufficient to cover the outstanding loan, before any liquidation or margin-call mechanism is triggered.

The 60-day facility term limits the duration of any single counterparty exposure, allowing the vault to reassess counterparty standing, collateral value, and market conditions at each rollover point rather than committing capital indefinitely. Renewal of any facility is not automatic; each rollover is subject to the same vetting standard applied to a new counterparty relationship.

Even though Syncrate only signs financing agreements with counterparties that have a prior relationship with our bullion suppliers, every counterparty must be DMCC licensed with a minimum operating history of five years.

Should a counterparty default, the vault's recourse is to the posted gold collateral. A default combined with a sufficiently severe adverse price movement, beyond the buffer the 75% LTV provides, represents the primary loss scenario for Syncrate Prime depositors. This risk is borne exclusively by SGLD holders, in proportion to their vault share, and never by XAUs holders who have not deposited into Syncrate Prime.

6.2 Liquidity & Redemption Risk

Because Syncrate Prime capital may be actively deployed in outstanding 60-day financing arrangements at any given time, the vault cannot guarantee instant redemption of the full deposited amount under all conditions. 30% of vault capital is maintained undeployed or in short-duration positions specifically to serve typical redemption demand.

Redemption liquidity risk is structurally distinct from, and generally more significant than, XAUs's own redemption risk, since XAUs reserves are never deployed at all, while Syncrate Prime's capital is deployed by design. This distinction should be, and is, disclosed explicitly to any depositor considering Syncrate Prime.

6.3 Custody & Reserve Risk

XAU's backing claim depends on the ongoing integrity of the custody relationship described in Section 4.1, and on the accuracy of the attestation process described in Section 4.2. Custodian insolvency, operational failure, or a breakdown in the segregation of allocated gold represent tail risks against which the protocol has limited direct recourse beyond the choice of a reputable, professional custodian and recurring independent verification.

6.4 Smart Contract Risk

As with any onchain protocol, XAU's, Syncrate Prime, and SYNC contracts carry inherent smart contract risk, undiscovered vulnerabilities that could be exploited despite testing and review. This risk is mitigated, though never eliminated, through standard protective measures: role-based access control, multi-signature administrative permissions, timelocked parameter changes, reentrancy protections, and independent third-party security audits prior to mainnet deployment.

7 Compliance & Regulatory Framework

7.1 Jurisdictional Approach

Syncrate's compliance posture reflects the specific nature of XAU's and Syncrate Prime as currently structured. XAU's minting and redemption are permissionless, requiring no identity verification, on the basis that XAU's represent direct exposure to physical gold, an asset class that does not itself require a licence or registered intermediary to purchase or hold in most jurisdictions.

Syncrate monitors the regulatory treatment of tokenised commodities and gold-backed instruments across jurisdictions relevant to its user base and custody arrangements, and reserves the right to introduce identity verification requirements, geographic restrictions, or other compliance measures should the regulatory environment, or legal guidance received, indicate this is necessary.

Syncrate's legal counsel has reviewed this approach and confirmed that permissionless minting and redemption in USDC/USDT does not require identity verification under this structure. KYC requirements apply specifically to physical redemption of gold, a service Syncrate does not currently offer; all redemptions settle in USDC/USDT, not physical bullion delivery or fiat.

8 Market Opportunity

8.1 Total Addressable Market

Physical gold functions as a global store of value with an estimated market size in the range of \$15-20 trillion. The overwhelming majority of this value remains entirely disconnected from programmable, on-chain finance, held in vaults, central bank reserves, and private holdings with no direct pathway into blockchain-based systems.

8.2 Serviceable Addressable Market

Tokenised gold, the segment in which XAU's and Syncrate Prime compete directly, reached a combined market capitalisation of approximately \$5.5 billion in Q1 2026, with roughly \$90.7 billion in quarterly trading volume. This market remains heavily concentrated: PAXG and XAUT together represent approximately 90% of tokenised gold's total market capitalisation. Neither token offers any native mechanism for yield; both are purely static, price-tracking instruments.

8.3 Serviceable Obtainable Market

Tokenised gold, the segment in which XAU's and Syncrate Prime compete directly, reached a combined market capitalisation of approximately \$5.5 billion in Q1 2026, with roughly \$90.7 billion in quarterly trading volume. This market remains heavily concentrated: PAXG and XAUT together represent approximately 90% of tokenised gold's total market capitalisation. Neither token offers any native mechanism for yield; both are purely static, price-tracking instruments.

9 Business Model

9.1 Revenue Sources

Syncrate generates revenue through three distinct mechanism:

$$\begin{aligned} \text{XAUs Revenue} &= \text{Redemption Volume} \times 0.25\% \\ \text{Syncrate Prime Revenue (Withdrawal Fee)} &= \text{Withdrawal Volume} \times 0.10\% \\ \text{Syncrate Prime Revenue (Spread)} &= \text{Financing Interest Income} \times 2\% \end{aligned}$$

XAU's generates revenue exclusively through a 0.25% redemption fee; minting carries no fee, consistent with Syncrate's design goal of minimising friction for gold holders entering the ecosystem.

Syncrate Prime generates revenue through two components. First, a 0.10% fee applied to SGLD withdrawals. Second, and more significantly, Syncrate retains 2% of the financing spread, the interest income generated by counterparty financing arrangements, described in Section 3.3, before the remainder accrues to SGLD's share price. Given financing counterparties are charged 12% annual interest, Syncrate's 2% spread take represents approximately one-sixth of gross financing revenue, with the remaining yield passing through to SGLD holders.

$$\text{Effective Yield to SGLD Holders} \approx 12\% \times (1 - 2\%) = 11.76\% \text{ (before withdrawal fees)}$$

10 Development Roadmap

Phase I: Foundation (*Complete*)

Secured initial physical gold reserves. Established a custody partnership with Amanat Vaults. Completed the first third-party reserve attestation with Bureau Veritas. Built XAUs smart contract infrastructure, including minting and redemption logic. Developed Syncrate Prime vault architecture, including share accounting and yield accrual logic. Built a full frontend application spanning XAUs minting through Syncrate Prime participation.

Phase II: Audit & Deploy (*Current*)

Seed initial liquidity for XAUs minting/redemption and Syncrate Prime vault flows. Launch a closed pilot to validate core protocol mechanics, including counterparty financing repayment performance. Initiate third-party security audit of XAUs, Syncrate Prime, and SYNC token contracts.

Phase III: Launch

Launch XAUs minting and Syncrate Prime deposits publicly. Begin recurring proof-of-reserve attestation on an ongoing cadence. Launch SYNC, the protocol's native governance token, with staking available for fee reduction on XAUs redemption and Syncrate Prime withdrawals.

Phase IV: Scale

Extend XAUs to additional chains via bridged representations. Grow Syncrate's physical reserve base and bullion bank counterparty network. Deepen protocol liquidity and expand distribution partnerships across the broader blockchain ecosystem.

11 Conclusion

Gold's role as a trusted store of value has never required on-chain infrastructure to be real, but it has, until now, largely excluded gold from the systems increasingly used to allocate global capital. Syncrate was built on a simple premise: gold holders should not have to choose between the safety of a fully-reserved, price-tracking asset and the opportunity to earn real, understandable yield.

XAUs answers the first half of this premise directly, a token backed unconditionally, 1:1, by verified physical gold, never leased, never placed at risk, redeemable at any time. Syncrate Prime answers the second, an optional, transparent path into gold-backed financing yield, a mechanism institutions have relied on for decades, extended for the first time to individual, on-chain participants, with risk clearly separated and disclosed rather than obscured.

This separation, rather than a single blended product promising both safety and yield simultaneously, is the architectural decision underlying everything in this document. It reflects a

broader conviction: that trust in a financial instrument is best earned not by minimising the appearance of risk, but by describing it honestly, and by giving holders the ability to choose their own exposure deliberately.

Syncrate's near-term priorities remain concrete and disciplined: complete independent security audit of all protocol contracts, launch XAU's and Syncrate Prime publicly on a foundation of verified reserves and vetted counterparty relationships, and establish a recurring, public cadence of reserve attestation from day one. Longer-term, Syncrate intends to deepen its bullion bank counterparty network, extend XAU's reach across additional chains, and grow the reserve base that underlies the entire system.

The opportunity in tokenised gold remains early, concentrated among a small number of incumbents offering no yield mechanism at all. Syncrate's approach, pairing a rigorously reserved base asset with an honestly disclosed, optional yield layer, represents a differentiated path forward for a market still in its early stages of connecting one of the world's oldest stores of value to its newest financial infrastructure.

12 References

1. CoinGecko, "RWA Report 2026," CoinGecko Research, 2026.
<https://coingecko.com/research/publications/rwa-report-2026>
2. Bureau Veritas, "Syncrate Reserve Attestation Report," July 2026. (*internal document, excerpt included as Figure 9B*)